IS Audit & Control

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Audit Planning and Analytical Procedures

Problems

Analytical Procedures

- You are auditing payroll for the Morehead Technologies company for the year ended October 31, 2011. Included next are amounts from the client's trial balance, along with comparative audited information for the prior year.

	Audited Balance 10/31/2010	Preliminary Balance 10/31/2011
Sales	$ 51,316,234	$ 57,474,182
Executive salaries	546,940	615,970
Factory hourly payroll	10,038,877	11,476,319
Factory supervisors' salaries	785,825	810,588
Office salaries	1,990,296	2,055,302
Sales commissions	2,018,149	2,367,962

- You have obtained the following information to help you perform preliminary analytical procedures for the payroll account balances.
- 1. There has been a significant increase in the demand for Morehead's products. The increase in sales was due to both an increase in the average selling price of 4 percent and an increase in units sold that resulted from the increased demand and an increased marketing effort.

Analytical Procedures

- 2. Even though sales volume increased there was no addition of executives, factory supervisors, or office personnel.
- 3. All employees including executives, but excluding commission salespeople, received a 3 percent salary increase starting November 1, 2010. Commission salespeople receive their increased compensation through the increase in sales.
- 4. The increased number of factory hourly employees was accomplished by recalling employees that had been laid off. They receive the same wage rate as existing employees.
- Morehead does not permit overtime.
- 5. Commission salespeople receive a 5 percent commission on all sales on which a commission is given. Approximately 75 percent of sales earn sales commission. The other 25 percent are "call-ins", for which no commission is given. Commissions are paid in the month following the month they are earned.

Analytical Procedures

- a. Use the final balances for the prior year included on the preceding page and the information in items 1 through 5 to develop an expected value for each account, except sales.
- b. Calculate the difference between your expectation and the client's recorded amount as a percentage using the formula (expected value-recorded amount)/expected value.

Here are expected values for each account except sales and the calculated difference between the expected value and actual recorded balance:

ACCOUNT	EXPECTED VALUE	DIFFERENCE IN EXPECTED AND RECORDED	REASONING TO SUPPORT EXPECTED VALUE
Executive salaries	**$563,348** ($546,940 x 103%)	-9.34% ($563,348 - $615,970) / $563,348	All executives received a 3 percent increase in salaries effective November 1, 2010. There were no additions to the number of executives in the current year.
Factory hourly payroll	**$11,167,246** Increase due to 3% payrate increase: ($10,038,877 x 3% =$301,166 increase due to payrate increase) 8% increase due to increased production ($10,038,877 + $301,166 = 10,340,043 x 108 % = $11,167,246)	-2.77% ($11,167,246-$11,476,319) / $11,167,246	The increase in factory hourly payroll is attributed to two primary factors. First, payroll expense would be expected to increase 3% over the prior year to account for the 3% wage increase for all employees (except executives). Second, payroll expense should increase 8% to account for the 8% increase in the number of units produced and sold.
Factory supervisors' salaries	**$809,400** ($785,825 x 103%)	-.15% ($809,400 - $810,588) / $809,400	All factory supervisors' salaries received a 3 percent increase effective November 1, 2010. There were no additions to the number of factory supervisors in the current year.
Office salaries	**$2,050,005** ($1,990,296 x 103%)	-.26% ($2,050,005 -$2,055,302) / $2,050,005	All office personnel received a 3 percent increase in salaries effective November 1, 2010. There were no additions to the number of office personnel in the current year.
Sales commissions	**$2,249,072** Increase in commissions due to increased sales: (5% x $4,618,461 = $230,923) $2,018,149 + $230,923 = 2,249,072	-5.3% $2,249,072 -$2,367,962) / $2,249,072	Sales increased by $6,157,948. Commissions are only earned on about 75% of the sales. Thus, only 75% of the increase ($4,618,461) would be considered in the calculation of commission expense. The fact that commissions are paid one month after they are earned does not affect commission expense for the year since management would have to accrue the expense for commissions earned but not paid as of October 31, 2011.

(**Note**: Sales have increased 12 percent over prior year. Four percent of that is due to an increase in the average selling price. The remaining 8 percent is attributed to an increase in the number of units sold.)